

For example, Sharon paid off her credit card balance in full every month for two years. She had a medical emergency, missed work, and incurred some unexpected bills. Sharon, unable to pay off the balance in full, made the minimum monthly payment, but she paid one day late. She was charged a \$45 late payment fee. Sharon was also then hit with an over-the-limit fee because that late charge, plus her medical bills, exceeded her credit limit. Her credit card company then raised her interest rate because she made a late payment and exceeded her credit limit. Most people are not aware of it, but some credit card institutions can increase fees and interest rates basically at any time. A single debt incurred by a person in a jam can double or triple because of the fees and penalties that can get heaped on. Quite often the credit card companies send checks, telling the card holder “just deposit” for whatever you need, and in doing so, it could take the consumer over their credit limit. The result? More fees.

“Charge
a little,
owe us
a lot...”

Why do the credit card companies spend so much on ads and mailings? To get you to open an account with them, so they can be “partners” with you for life. They’re leeches. They purport that they are providing a service when they in fact are constantly creating new ways to extract fees. There is typically no government regulation on fees. “Charge a little, owe us a lot” should be their new industry slogan. The average American has eight credit cards. Ed and Sue have nine each. How many do you have?

Yes, It Is Legal

The credit card companies do have the legal right to review your credit report. They want to know your spending habits and paying habits. That is legitimate business practice. But here comes the unjustifiable part...

Even if you make your credit card payments on time, Credit Card Company #1 could raise your interest rate, based solely on the fact that you messed up with Credit Card Company #2. By messing up, all I mean is that you paid late once or missed one payment. If you are late to your car loan company, your mortgage loan broker, other credit cards, or any other creditor, just one of them, just once, they could